Issue of Materials: FIFO vs LIFO

which lot goes out first?

Financial Accounting-2

In simple words *Stores issue materials at the cost of a chosen lot; FIFO and LIFO differ in which lot is taken first.*

1 FIFO (Issue of Materials)

Materials are issued at the cost of the earliest lot still in stock; when that lot is used up, the next earliest lot is used.

Closing stock carries the latest prices

2 LIFO (Issue of Materials)

Materials issued are priced at the cost of the latest lot still in stock (received before the issue date); when that lot runs out, the next latest lot is used.

Closing stock carries the oldest prices

1. Stores ledger records receipts, issues and balance for each material in quantity and value.
2. FIFO issues from the oldest lot in stock first; issue price is the cost of that lot.
3. LIFO issues from the latest lot still in stock; lots received after the issue date cannot be used.
4. Under every method, opening stock + receipts = cost issued + closing stock; only the split between issues and closing stock changes.



Swipe for the summary →

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FIFO vs LIFO Compared

same goods, different split!

Pricing of Material Issues: FIFO vs LIFO

Point	FIFO	LIFO
Issue priced at	Oldest lot in stock	Latest lot in stock
Closing stock at	Latest lots' cost	Oldest lots' cost
Issues in rising prices	Lower cost	Higher cost
Closing stock, rising prices	Higher value	Lower value

SAME TOTAL, DIFFERENT SPLIT! Total cost to account for stays the same; the method only decides how much goes to issues and how much stays in stock.

Swipe for a memory trick ⟶

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Study Trick

Pricing of Material Issues: FIFO vs LIFO

queue and plates!

FIFO = First in the queue, first out

Picture a ticket queue: the first person leaves first (FIFO). LIFO is a stack of plates: you take the top plate, the latest one placed, still on the stack.}

How to attempt it

1. List opening stock and each receipt
2. Note issue dates and quantities
3. Price each issue lot by lot
4. Balance = stock lots left after issue
5. Check: issues + closing stock = opening stock + receipts

Exam Tip

Draw a stores ledger with Receipts, Issues and Balance columns. Update the balance lot by lot after every issue.

Doubt Buster

Does LIFO issue the lot received last of all? No. It uses the latest lot received before the issue date and still in stock. Lots received after the issue date cannot be issued.

Swipe for common mistakes →

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COMMON MISTAKES

Pricing of Material Issues: FIFO vs LIFO

watch the lots!

✗ Under LIFO, using a lot received after the date of issue

✓ Use only lots received on or before the issue date and still in stock.

✗ Pricing every FIFO issue at the latest purchase price

✓ FIFO prices issues at the oldest lot in stock; closing stock is at latest prices.

✗ Not moving to the next lot when one lot is exhausted within an issue

✓ Split the issue: finish the current lot at its price, then take the balance from the next lot at its price.

TOMORROW'S CMA CAT MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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